

Interview Feedback

Brew & Bean Profitability · 2026-07-17 · Overall: adequate

Top improvement

Let the evidence — not an appealing narrative — drive the diagnosis: the flat-labor/COGS-spike pattern most simply points to input-cost inflation, so probe unit input costs first and label your mix story as an unverified hypothesis before committing to it as the recommendation.

Rubric Scores

Problem Structuring

adequate

What went well

Opened with a genuinely tailored clarifying frame that distinguished structural vs. tactical causes and named gross margin as the diagnostic split.

"Do we have the gross margin trend? That'll tell me if it's a cost-of-goods problem vs. operating expenses eating into profit."

"I'm basically trying to figure out whether this is a structural problem (they're growing the wrong way) or something more tactical (temporary cost spike, accounting quirk)."

Corrected the MECE gap on the revenue side quickly and comprehensively when prompted, decomposing revenue into volume/price/mix and adding channel/segment.

"Decompose the revenue growth into volume, price, and mix"

"Are they growing through wholesale vs. direct-to-consumer? Foodservice vs. retail? Different geographies? Each has different margins."

What needs work

Initial structure was cost-heavy and not MECE — the entire revenue side (price/volume/mix) was missing until the interviewer pointed it out.

"First, I'd build a waterfall to isolate where the margin collapsed."

"Second, I'd stress-test whether this is a unit economics issue or a scale issue."

Never restated the client objective (the decision the CEO faces) before launching the framework.

"Okay, let me think through this step by step. First, I'd build a waterfall to isolate where the margin collapsed."

Missed opportunities

At turn 3 when asked to structure the problem, the candidate went straight into a cost/waterfall structure.

A great answer: "The objective is to reverse the margin decline from 6% back toward 24%. I'll break profit into revenue — split into volume, price, and mix — and costs — COGS, labor, overhead. Because margin fell while revenue grew, my hypothesis is the driver sits in either an unfavorable mix shift or rising COGS, so that's where I'd prioritize."

Quantitative & Analytical Rigor

adequate

What went well

When challenged, laid out the revenue = ATV × volume equation explicitly and derived volume growth algebraically, self-correcting his earlier rounding.

" $1.10 \times (\text{Volume_new} / \text{Volume_old}) = 1.15$ Volume_new / Volume_old = $1.15 / 1.10 = 1.0454$ "

"So to be clear: transaction volume is up 4.5%, ATV is up 10%, revenue is up 15%."

Correctly computed both the current (6%) and prior (24%) margins from the cost stack and translated the swing into a business implication.

"It went from 42 '50 '58. That's a 16-point swing over two years, and 8 points in just the last year."

"Profit got crushed (down 18 points)"

What needs work

Initially asserted volume growth 'roughly 5%' without showing the derivation, only tightening to the correct 4.5% after being pushed.

"Okay, so if ATV is up 10% and revenue is up 15%, that means transaction volume is up roughly 5%."

Never quantified the dollar magnitude of the COGS hit or per-store economics, leaving the analysis directionally rich but numerically thin on the driver itself.

"Because if ATV is up 10% but COGS is up 16 points on the P&L, the math suggests their input costs are rising faster than they can pass through to customers via price."

Missed opportunities

At turn 13 after reading the cost exhibit showing a 16-point COGS swing, the candidate could have sized the dollar impact.

A great answer: "A 16-point COGS increase on roughly \$480M of revenue is about \$77M of additional cost — that's the entire margin gap in dollars, which tells me COGS alone explains the collapse and quantifies how much we need to recover through price or sourcing."

Data & Exhibit Interpretation

strong

What went well

Isolated COGS as the sole driver of margin compression and explicitly contrasted it against flat labor and near-flat overhead — exactly the exhibit key insight.

"The problem is COGS. Full stop. It went from 42 '50 '58."

"Labor stayed flat at 22 (they didn't hire more people even though revenue grew) Overhead barely budged (up 2 points)"

Translated the read into a sharp 'so-what' and proposed concrete next data to pull.

"the math suggests their input costs are rising faster than they can pass through to customers via price. What's the story there? Is this commodity inflation, or something else?"

"Data I'd pull: Product mix by year... Gross margin by product type Unit COGS by product"

What needs work

Used the flat-labor observation to over-rotate toward a mix hypothesis and away from the simpler input-cost inflation explanation, which the exhibit key identifies as the actual driver (bean prices +40%).

"I'd investigate product mix first."

"If the mix shifted toward premium/complex items, that explains everything and changes the strategy completely."

Missed opportunities

At turn 15 when asked for the single biggest lever behind the COGS move, the candidate led with mix rather than probing input-cost inflation.

A great answer: "The single biggest lever is unit input cost — specifically coffee bean prices. Labor is flat, so this isn't operational inefficiency; a same-mix commodity spike would produce exactly this pattern. I'd first pull bean/commodity price trends and pass-through rates before assuming a mix shift."

Business Judgment & Insight

adequate

What went well

Showed commercial maturity by warning against reflexive cost-cutting given flat labor — aligned with the recommendation key's 'do not recommend blanket cost cuts.'

"Don't cut costs—recalibrate your product strategy."

"The fix isn't 'cut COGS by 5%'—it's 'decide what products you're actually in the business of selling and price them accordingly.'"

Raised the strategically important question of incremental unit profitability rather than accepting headline ATV growth.

"Those new products—are they actually profitable per unit, or are you selling them at a loss to build volume?"

What needs work

Committed to a mix-shift diagnosis as the answer when the evidence pointed to commodity input inflation, leading to a recommendation that misdiagnoses the driver.

"You have a product mix problem, not a cost problem."

"COGS spiked because you're selling a different product mix—likely higher-cost items that drove ATV up but ate all your margin."

Missed the pricing-power and supply-contract levers (selective price increases on inelastic specialty SKUs, multi-year bean contracts) that the case rewards.

"Reprice or reposition those high-COGS items to protect margin, or Accept lower margins as a strategic trade"

Missed opportunities

At the recommendation in turn 17, the candidate could have surfaced the elasticity/pricing-power lever and cost-lock-in.

A great answer: "If this is input-cost inflation, I'd selectively raise prices 8–12% on lower-elasticity specialty drinks and lock in multi-year bean supply contracts to stabilize COGS, rather than cutting already-lean labor."

Creativity & Brainstorming

adequate

The interviewer never ran a dedicated brainstorm prompt — this rating reflects limited secondary evidence from the driver-generation and recommendation turns, not a candidate failing.

What went well

Generated a structured set of candidate COGS drivers spanning inflation, mix, supplier terms, and waste.

| *"Input cost inflation?... Product mix shift?... Supplier deals falling apart?... Waste or spoilage?"*

Offered a genuine either/or strategic framing (reprice vs. deliberate margin trade) rather than a single obvious idea.

| *"Reprice or reposition those high-COGS items to protect margin, or Accept lower margins as a strategic trade if you're building market share"*

What needs work

Idea generation stayed diagnostic and conventional; no non-obvious solution ideas like a commodity blend for budget locations or hedging/forward contracts emerged.

| *"Don't chase more volume at this mix."*

Synthesis & Recommendation

adequate

What went well

Led answer-first with a crisp headline and structured the recommendation into confirm/quantify/decide steps.

| *"My recommendation: You have a product mix problem, not a cost problem. Don't cut costs—recalibrate your product strategy."*

| *"Pull the product mix data... Run the math on incremental profitability... Make an intentional choice."*

Tied reasoning back to the analysis (flat labor, ATV growth) and included concrete next steps.

| *"Labor is flat even though revenue grew 15%. That tells me you're not less efficient operationally."*

What needs work

Committed hard to an unverified hypothesis as the conclusion and did not flag it as a hypothesis needing validation — the interviewer had to supply that caveat.

| *"You have a product mix problem, not a cost problem."*

| *"COGS spiked because you're selling a different product mix"*

Named no explicit risk in the recommendation itself (e.g., price-increase elasticity risk, supplier concentration).

| *"Don't chase more volume at this mix. Your 4.5% volume growth isn't enough to offset the margin collapse."*

Missed opportunities

At turn 17 the candidate stated the mix conclusion as fact despite never seeing mix data.

| A great answer: "My leading hypothesis is a mix or input-cost driver — but I want to be explicit this is still unconfirmed, so the very first validation step is pulling product mix and unit COGS data before we commit to a pricing move."

Communication & Delivery

strong

What went well

Consistently top-down and signposted with numbered logic and hypothesis language throughout.

| *"I'd start with the revenue decomposition—breaking down that 15% growth into volume, price, and mix. Here's my logic:"*

| *"Okay, this is clear—and it tells a really specific story. The problem is COGS. Full stop."*

Closed loops with the interviewer by checking alignment and inviting redirection.

| *"Does that reasoning track, or would you approach it differently?"*

| *"What does the product mix data show?"*

What needs work

Occasionally verbose, packing multiple sub-branches into single turns that could have been tightened.

| *"So a more complete framework would be: Decompose the revenue growth into volume, price, and mix Understand margin by segment (channel, product line, geography, customer type) Then layer in the cost side"*

Pushback, Composure & Case Leadership

strong

What went well

Responded to the MECE challenge with a specific acknowledgment and substantive additions rather than defensiveness or capitulation.

“You’re right—I went straight to cost-cutting mode. Let me add the revenue side.”

“Without the revenue breakdown, I could be recommending cost cuts when the real problem is they’re growing the wrong way.”

Took the math challenge gracefully, redid the derivation precisely, and named the underlying habit to fix.

“You caught me being loose. Let me actually show the math.”

“I rounded up and said ‘roughly 5%’ when I should’ve been more precise. That’s a bad habit”

What needs work

Held onto the mix hypothesis even after being nudged to name the single biggest lever, missing the coaching cue toward input-cost inflation.

“I’d investigate product mix first.”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: selectively raise prices by 8–12% on high-margin SKUs (specialty drinks) where demand is less elastic, while negotiating multi-year bean supply contracts to lock in cost. Secondary: pilot a lower-cost ‘commodity blend’ for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:03

I'd like to make sure I have the key facts. Brew & Bean's net margin fell from 24% to 6% while revenue grew 15%. What questions do you have before you dive in?

Candidate · 0:23

Good question. A few things I'd want to clarify first: On the numbers themselves: What time period are we looking at? Year-over-year? Or did this happen over a longer stretch? Is this net margin on the same revenue base, or are we comparing like-for-like operations? (Like, did they acquire something, expand into new markets, shut down divisions?) Do we have the gross margin trend? That'll tell me if it's a cost-of-goods problem vs. operating expenses eating into profit. On the business: What's Brew & Bean's main business model? Are we talking a chain of cafes, coffee wholesale, subscription boxes? That changes what might've gone wrong. Has anything changed operationally—pricing, supply chain, staffing models, product mix? On the context: Is this a one-year drop or part of a longer trend? Any one-time items in there? Restructuring charges, asset sales, that kind of thing? I'm basically trying to figure out whether this is a structural problem (they're growing the wrong way) or something more tactical (temporary cost spike, accounting quirk). Revenue growth usually masks problems—when margin falls while revenue grows, something actively went wrong, and I want to know if it's fixable. What can you tell me?

Interviewer · 0:26

The decline happened over the past two years. It's the same core business, no acquisitions or divestitures, and no one-time items.

Take a moment, then walk me through how you'd structure this problem.

Candidate · 0:46

Okay, let me think through this step by step. First, I'd build a waterfall to isolate where the margin collapsed. Take net margin from 24% to 6%—that's 1,800 basis points gone. I need to know: How much of that came from gross margin declining vs. operating expenses rising? If it's gross margin: is it higher COGS per unit, unfavorable product mix, or pricing pressure? If it's operating leverage going the wrong way: which cost buckets? Labor? Rent? Marketing? Admin overhead? The answer here tells me whether this is a production/procurement problem or a structure problem. Second, I'd stress-test whether this is a unit economics issue or a scale issue. If they're growing revenue but margins are tanking, I need to know: are individual transactions becoming less profitable, or are they just not achieving the operating leverage they should at scale? Run the math on what those margins should be at 15% higher revenue. If they're still 24%, then they've got a serious unit economics problem. If they should be somewhere in between, then they're growing without managing costs properly—which is fixable. Third, I'd get into the why—the drivers behind whichever leaks I find. Labor costs up? Are they overstaffing, paying more, opening new locations inefficiently? COGS spiking? Supply chain issues, sourcing problems, or lower volumes somewhere? Then I'd size the opportunity. How much of this margin loss is fixable vs. how much is just the cost of growth? Does that framework make sense, or do you want me to go deeper on anything?

Interviewer · 0:49

That's a cost-focused structure. Is it MECE — what's on the revenue side that your framework might be missing?

Candidate · 1:10

You're right—I went straight to cost-cutting mode. Let me add the revenue side. On revenue, I'm missing: Price vs. volume/mix. That 15% revenue growth could be masking something. What if they're actually growing volume by 25% but at lower prices? Or the product mix shifted toward lower-margin items? I need to decompose that 15% into: Pure volume growth Price changes Product/channel mix shifts Channel or customer segment changes. Are they growing through wholesale vs. direct-to-consumer? Foodservice vs. retail? Different geographies? Each has different margins. Maybe they're winning new business in a lower-margin segment and that's dragging overall profitability down. Revenue quality. Related to above—are they chasing volume in ways that are structurally less profitable? Discounting to gain share, selling through lower-margin partners, entering price-sensitive markets? So a more complete framework would be: Decompose the revenue growth into volume, price, and mix Understand margin by segment (channel, product line, geography, customer type) Then layer in the cost side—for a given revenue mix, what should costs look like? Without the revenue breakdown, I could be recommending cost cuts when the real problem is they're growing the wrong way. Does that close the gap?

Interviewer · 1:12

Where do you want to start digging first?

Candidate · 1:36

I'd start with the revenue decomposition—breaking down that 15% growth into volume, price, and mix. Here's my logic: if margins are collapsing while revenue is growing, that's a red flag that they're not just mismanaging costs—they're growing the wrong way. And if that's true, cost cuts alone won't fix it. So before I start recommending layoffs or supply chain optimization, I need to know: Are they actually selling more units, or did they cut prices to hit that 15% number? Did the product mix shift? (Like, are they selling more of a lower-margin item?) Did they enter a new channel or segment that's structurally less profitable? If the answer is "yes, they're chasing volume at lower prices" or "they've shifted to a less profitable mix," then the real problem is strategy, not execution. Cost

cuts become a distraction. If it turns out the revenue is actually healthy—good price, good mix, solid volume—then I dig into costs and ask why they're not getting operating leverage from that growth. So: revenue side first. It's also usually faster to diagnose and it changes how I'd even think about the cost problem. Does that reasoning track, or would you approach it differently?

Interviewer · 1:38

Understood. Let me give you what I have.

On average transaction value, here's the figure: The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase.

Candidate · 2:06

Okay, so if ATV is up 10% and revenue is up 15%, that means transaction volume is up roughly 5%. That's interesting—and concerning. Here's why: If they're only growing transaction volume by 5%, they're not really getting operating leverage. Fixed costs—rent, management, equipment—don't scale with a 5% volume bump. So for margins to stay healthy or improve, the incremental revenue from those transactions needs to be profitable enough to cover fixed costs. But margins are collapsing. So either: The 10% ATV increase is mix, not price. Meaning customers are buying different (cheaper) items, which have lower unit margins. The ATV goes up nominally but the margin per dollar is worse. Or they're taking price increases but losing margin on COGS. Like, they raised prices 10% but their input costs spiked more than that. So my next question: Is that 10% ATV increase driven by price increases, or by product/customer mix shift? That distinction matters a lot. If it's mix-driven (they're selling more low-margin items), the problem is strategic—they need to reconsider their product or customer strategy. If it's price-driven, then COGS is the culprit. What does the data show?

Interviewer · 2:15

Walk me through that math — how did you get roughly 5% volume growth from a 10% ticket increase and 15% revenue growth?

Candidate · 2:37

You caught me being loose. Let me actually show the math. Revenue = ATV × Transaction Volume If revenue grows 15% and ATV grows 10%: $\text{Revenue_new} / \text{Revenue_old} = 1.15$ $\text{ATV_new} / \text{ATV_old} = 1.10$ So: $(\text{ATV_new} \times \text{Volume_new}) / (\text{ATV_old} \times \text{Volume_old}) = 1.15$ $(1.10 \times \text{ATV_old} \times \text{Volume_new}) / (\text{ATV_old} \times \text{Volume_old}) = 1.15$ $1.10 \times (\text{Volume_new} / \text{Volume_old}) = 1.15$ $\text{Volume_new} / \text{Volume_old} = 1.15 / 1.10 = 1.0454$ So volume is up about 4.5%, not 5%. I rounded up and said "roughly 5%" when I should've been more precise. That's a bad habit—in consulting, those points matter, especially when you're layering assumptions on top of each other. So to be clear: transaction volume is up 4.5%, ATV is up 10%, revenue is up 15%. Does that change how you're thinking about the problem, or is my interpretation still on track?

Interviewer · 2:40

Understood. Let me give you the cost picture.

Here's the cost structure over time:

Candidate · 3:28

Okay, this is clear—and it tells a really specific story. The problem is COGS. Full stop. It went from 42 ' 50 ' 58. That's a 16-point swing over two years, and 8 points in just the last year. Meanwhile: Labor stayed flat at 22 (they didn't hire more people even though revenue grew) Overhead barely budged (up 2 points) Profit got crushed (down 18 points) So here's what I'm seeing: they're taking ATV growth, but COGS is eating it all. My question: What's driving the COGS explosion? Is this: Input cost inflation? (Coffee beans, milk, cups, lids—commodities getting more expensive?) Product mix shift? (They're selling higher-COGS items—maybe fancier drinks—which have higher absolute COGS even if margin % is okay?) Supplier deals falling apart? (Unit costs from suppliers going up? Volume discounts disappearing?) Waste or spoilage? (Operational issues in stores?) Because if ATV is up 10% but COGS is up 16 points on the P&L, the math suggests their input costs are rising faster than they can pass through to customers via price. What's the story there? Is this commodity inflation, or something else?

Interviewer · 3:33

You said COGS moved 42 to 50 to 58. What's the single biggest lever you'd investigate to explain that, and what data would you pull?

I'm showing you the exhibit — take a look.

Candidate · 4:21

I'd investigate product mix first. Here's my thinking: labor is completely flat at 22 across all three periods. If they were making the same products inefficiently—waste, spoilage, production snafus—labor costs would've gone up. They didn't. So it's not an operational problem. But if ATV went up 10% and COGS exploded 16 points, I'd want to know: are they selling different things? Like, if two years ago they were 60% basic coffee and 40% lattes, and now it's 30% basic coffee and 70% lattes (because lattes have higher COGS), then the higher ATV makes sense and the COGS explosion makes sense. It's not that they're less efficient—it's that the product mix shifted toward higher-cost items. Data I'd pull: Product mix by year (% of revenue from each product category—espresso, latte, cold brew, food, etc.) Gross margin by product type Unit COGS by product If the mix shifted toward premium/complex items,

that explains everything and changes the strategy completely. You can't solve that with supply chain optimization—you need to ask whether that mix shift is intentional and profitable on the incremental margin, or if they've accidentally trained customers to buy lower-margin stuff. What does the product mix data show?

Interviewer · 4:23

We're nearly out of time, so let's land it. What's your recommendation to the CEO?

Candidate · 4:45

My recommendation: You have a product mix problem, not a cost problem. Don't cut costs—recalibrate your product strategy. Here's the logic: Labor is flat even though revenue grew 15%. That tells me you're not less efficient operationally. COGS spiked because you're selling a different product mix—likely higher-cost items that drove ATV up but ate all your margin. So here's what I'd tell the CEO: Pull the product mix data. Confirm which products are driving the ATV increase and what their actual margins are. My guess is you've shifted toward lattes, specialties, food—higher ATV but lower margin. Run the math on incremental profitability. Those new products—are they actually profitable per unit, or are you selling them at a loss to build volume? If the latter, you've got a pricing or positioning problem. Make an intentional choice. Either: Reprice or reposition those high-COGS items to protect margin, or Accept lower margins as a strategic trade if you're building market share or brand positioning—but do it deliberately, not by accident. Don't chase more volume at this mix. Your 4.5% volume growth isn't enough to offset the margin collapse. Chasing more at this profitability level destroys shareholder value. The fix isn't "cut COGS by 5%"—it's "decide what products you're actually in the business of selling and price them accordingly." Does that land?

Interviewer · 4:49

One caveat worth flagging: the mix-shift story is still your hypothesis — you haven't yet seen the product mix data to confirm it. That's the first thing to validate.

That's where we'll stop. Thanks for working through it — we're out of time.